12 August 2022

Circular 34 of 2022

To: All Pension and Provident Funds
Zimbabwe Association of Pension Funds (ZAPF)
Life Offices Association of Zimbabwe (LOA)
Insurance Brokers Association of Zimbabwe IBAZ
Pension Fund Administrators

BASIS AND FORM OF REPORTING IN PENSION FUNDS FINANCIAL STATEMENTS

Basis of the Circular

1. This Circular is issued in terms of Section 3(1) of the Insurance and Pensions Commission (Issuance of General Guidelines and Standards) Regulations, 2020, published in Statutory Instrument 69 of 2020, which empowers the Insurance and Pensions Commission, to issue general guidelines and standards to regulate and monitor the management and administration of pension and provident funds, to ensure that they maintain set standards and ensure compliance with the Pension and Provident Funds Act [*Chapter 24:09*].

Reporting Requirements

2. In 2020, the Commission issued Circular 20 of 2020 requiring pension funds to adopt International Financial Reporting Standards.
3. Following issuance of the directive, the Commission observed the following from the audited financial statements submitted:
    3.1. Non-compliance with IAS 26 – Accounting and Reporting by Retirement Benefit Plans
    3.2. Non-compliance with the requirements of the Guideline for the Insurance and Pensions Industry on Adjusting Insurance and Pension Values in Response to Currency Reforms.

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3.3. Inconsistences in disclosures.

4. In view of the above, the Commission is issuing a revised Financial Reporting Guideline for the Pensions Industry which is attached to this Circular.
5. The Guideline will be effective from Financial Statements for the year ended 31 December 2022.
6. We therefore urge the industry to prepare for the adoption of the new reporting requirements.
7. Be guided accordingly.

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Grace Muradzikwa

Commissioner of Insurance, Pension and Provident Funds

INSURANCE AND PENSIONS COMMISSION (IPEC)

FINANCIAL REPORTING GUIDELINE FOR THE PENSIONS INDUSTRY

AUGUST 2022

Authorisation

The Financial Reporting Guideline for the Pensions Industry (hereafter referred to as the "Guideline") is issued in terms of section 3(1) of the Insurance and Pensions Commission (Issuance of General Guidelines and Standards) Regulations, 2020, published in Statutory Instrument 69 of 2020, which empowers the Commission, whenever it considers it necessary, convenient and in the best interest of pension and provident fund members, to issue general guidelines and standards in relation to risk management to be observed by the pension industry.

1. **Background**
    1.1. In June 2021, the Insurance and Pensions Commission (IPEC) issued revised Financial Reporting templates to be adopted by Pension and Provident Funds in line with International Financial Reporting Standards (IFRS)
    1.2. Following feedback from the industry about the reporting requirements being onerous, the Commission has found it necessary to revise the reporting requirements.
2. **Objectives of the Guideline**
    2.1. The objective of the Guideline is to guide pension and provident funds industry on annual reporting requirements by:
        2.1.1. Aligning the reporting requirements to the Guideline for the Insurance and Pensions Industry on Adjusting Insurance and Pension Values in Response to Currency Reforms (the "Guidance Paper").
        2.1.2. Aligning reporting requirements to International Accounting Standard (IAS) 26 – Accounting and Reporting by Retirement Benefit Plans.
        2.1.3. Aligning the reporting requirements to the disclosure requirements as highlighted in other regulations issued by the Commission.
3. **Scope and Effective Date**
    3.1. The Guideline shall be applicable to all pension and provident funds. It shall be read with all other legislation pertaining to insurance and pension fund business carried out in Zimbabwe, including Circulars and other directives issued by the Commission.
    3.2. The Guideline becomes operational from annual audited financial statements for the financial year ended 31 December 2022.
    3.3. Comparative financial statements should be prepared in line with the requirements of this guideline.
    3.4. The Commission reserves the right to amend this Guideline from time to time in line with changes in the legal and regulatory framework.

3.5. The requirements in this Guideline apply to both defined contribution and defined benefit pension funds except where it is indicated otherwise.

4. Financial Statements to be Produced

4.1. The Audited Financial Statements should include the following:

4.1.1. Statement of Net Assets Available for Benefits / Statement of Financial Position.

4.1.2. Statement of Changes in Net Assets Available for Benefits / Fund Account.

4.1.3. Statement of Cashflows (using the direct method).

4.1.4. Membership statistics.

4.2. Pension funds that only receive USD contributions should have their financial statements prepared using USD as the functional currency.

5. Disclosures Required Either on the Face of the Financial Statements or In Accompanying Notes Together with Any Other IFRS Disclosure Requirements Not Mentioned:

5.1. Description of the investment policy.

5.2. Description of the fund and effect of any changes to the scheme during the period e.g., whether DB/DC, funding policy, changes in contribution levels, conversion from DB to DC and any other changes in fund rules or Principles and Practices of Financial Management.

5.3. Split of contributions between members and employers and between voluntary and non-voluntary contributions.

5.4. Disclosure of operating expenses.

5.5. Debtors' age analysis for rental arrears, contribution arrears and other major debtors. Also submit a separate debtors' age analysis for foreign currency-denominated debtors only, as applicable.

5.6. Unclaimed benefits age analysis, as applicable.

5.7. Apportionment of assets, liabilities, income and expenses to the relevant sub-accounts for all pension funds not exempt from preparing sub accounts according to the Guidance Paper requirements.

5.8. The basis of valuation of assets for each significant class of assets including operating assets.

5.9. A reconciliation between the opening and closing value of major asset classes including any purchases and sales.

5.9.1. The market value of the assets under management of asset managers stating the names of the asset managers and investment fees and investment income per manager.

5.10. Details of any transfer of assets between sub accounts.

5.11. Schedule of any non-resident assets and liabilities.

5.11.1. Details of any single investment exceeding either 5% of the net assets available for benefits or 5% of any class or type of security

5.11.2. Schedule of foreign currency income, expenses, assets and liabilities.

5.12. Other liabilities other than actuarial liabilities.

5.13. Actuarial liabilities broken down into different membership categories and reserves.

5.14. Information relating to any material transactions and investments in the sponsoring employer or any related parties.

5.15. Reconciliation of membership statistics.

5.16. Details of any material non-adjusting events.

5.17. Summary of material accounting policies.

5.18. Compliance report showing level of compliance with regulatory requirements and any penalties and fines issued.

5.19. Details on all Prescribed Assets investments instruments including amounts invested and any dividends or investment returns received.

5.20. Breakdown of member accumulations between vested and non-vested portion and an explanation of what it means to pension scheme members. Vested and non-vested portions apply mainly to insured funds whereby the vested portion is the guaranteed portion and to defined benefit funds whereby the vested portion relates to the actuarial present value of promised retirement benefits for members who have met the minimum requirements to receive the benefits as per the fund rules.

5.21. Breakdown of contribution arrears by sponsoring employer, if any, and state which employers have Certified Repayment Agreements.

5.22. For insured funds, provide breakdown of assets belonging to insured funds under guaranteed fund per asset class.

5.23. Investment performance for the period including any recommended bonuses and pension increases by the actuary.

5.24. Funding level for defined benefit pension funds.

6. **Valuation of Fund Assets**

6.1. Investment assets must be valued at fair value except debt instruments held to maturity which should be held at amortised cost.

6.2. For marketable securities / financial instruments, bid price at the end of the reporting period should be used.

6.3. Property should be valued using the functional currency applicable to the pension fund or sub account for pension funds with different fund accounts, that is for sub-account 1 and 2, valuation should be in ZW$ for local properties and for sub-account 3 and purely USD pension funds, valuation should be in USD.

7. **Valuation of Actuarial Liabilities**

7.1. Actuarial liabilities should be valued using the current period's actuarial valuation report or financial review report.

8. **Income and Expenses**

8.1. The accrual method should be used when accounting for income and expenses.

9. **Other Reports**

9.1. The financial statements should be accompanied by:

9.1.1. The Trustees' responsibility statement signed by both the Principal Officer and Chairman of the Board of Trustees.

9.1.2. Audit report with audit opinion.

9.1.3. Letter to management from the external auditor.

9.1.4. Audit certificates for each insured fund, which is part of the guaranteed fund, clearly showing the movement in assets value of the fund and the assets attributable to the fund.

9.1.5. Property valuation reports.

9.1.6. Asset managers' reports.

10. Please note that templates for use are available in Annexures A to I of this guideline. The Commission also requires submission of the same on the IPEC online system using provided templates.

END OF DOCUMENT

ANNEXURE A

Statement of Net Assets Available for Benefits

	Sub Account 1	Sub Account 2	Sub Account 3	Total	Sub Account 1	Sub Account 2	Sub Account 3	Total
	20XX (current period)				20XX (prior period)			
	ZW$	ZW$	US$	ZW$	ZW$	ZW$	US$	ZW$
Membership Activities								
Contributions								
by members:								
(a)Normal								
(b)Voluntary								
by employers								
(a)Normal								
(b)Special towards member accumulations								
GLA premiums								
Interest on contribution arears								
Other (specify)								
Other (specify)								
Total Contributions (A)	-	-	-	-	-	-	-	-
Other membeship income								
Transfers from other funds								
Transfer from other sources								
Amounts received on life insurance claims								
Other (specify)								
Other (specify)								
Total other membership income (B)	-	-	-	-	-	-	-	-
Benefits and Payments								
Pensions								
to members								
to surviving spouse								
to children and other dependants								
One third commutation								
Lump sum awards on death								
Lump sum awards on withdrawal/resignation								
Lump sum awards on retirement and retrenchment								
Ex gratia payments								
GLA Premiums paid								
Actuarial gain/loss (DB funds)								
Transfers to other funds								
Other (specify)								
Other (specify)								
Total Benefits and Payments (C)	-	-	-	-	-	-	-	-
Net Membership Activities Income/ Loss (A+B-C) =D	-	-	-	-	-	-	-	-
NON-MEMBERSHIP ACTIVITIES								
Investment Income								
Financial Assets								
Interest income								
Dividends								
Unrealised fair value gains/ (losses) on financial assets								
Realised fair value gains/ (losses) on financial assets								
Other (specify)								
Other (specify)								
Non Financial Assets								
Rental income								
Revaluation gains/ (losses) on property								
Profit/ (loss) on disposal of non financial assets								
Other (specify)								
Other (specify)								
Total Investment income/ (loss) (E)	-	-	-	-	-	-	-	-
Investment Expenses								
Financial Assets								
Asset management fees								
Custodial fees								
Other (specify)								
Other (specify)								
Non Financial Assets								
Rates								
Property management fees								
Property maintenance costs								
Other (specify)								
Other (specify)								
Total Investment Expenses (F)	-	-	-	-	-	-	-	-
Net Investment Income/ (Loss) (E - F) = (G)	-	-	-	-	-	-	-	-
Other Activities								
Other Income								
Employer contribution towards expenses								
Other (specify)								
Other (specify)								
Total Other Income (H)	-	-	-	-	-	-	-	-
Other Expenses								
Bank charges								
Staff costs								
Administration fees								
Actuarial fees								
Audit fees								
Board expenses								
IPEC levies								
Bank charges								
Legal fees								
Fines and Penalties								
Amortisation, depreciation and impairement of operating assets								
Tax								
Provisions (specify):								
Other (specify)								
Other (specify)								
Other (specify)								
Total Other expenses (I)	-	-	-	-	-	-	-	-
Net Other Income / loss (H - I) = (J)	-	-	-	-	-	-	-	-
Change in Net Assets excluding Membership Activities (G + J) = (K	-	-	-	-	-	-	-	-
Net increase/ decrease in net assets during the year (D + K) = L	-	-	-	-	-	-	-	-
Net assets available for benefits at beginning of year (M)								
Net Assets available for benefits at end of year (L + M)	-	-	-	-	-	-	-	-

ANNEXURE B

Statement of Changes in Net Assets Available for Benefit

	Sub Account 1	Sub Account 2	Sub Account 3	Total	Sub Account 1	Sub Account 2	Sub Account 3	Total
	20XX (current period)				20XX (prior period)			
	ZW$	ZW$	US$	ZW$	ZW$	ZW$	US$	ZW$
Assets								
Operating Assets								
Property								
Motor vehicles								
Furniture and equipment								
Computer systems and hardware								
Other (specify):								
XXX								
XXX								
XXX								
Total Operating assets (N)	-	-	-	-	-	-	-	-
Non-Current Investments								
Investment property								
Equities								
quoted:								
unquoted								
Prescribed assets								
government bonds								
other prescribed assets								
Bonds								
Loans and mortgages on property								
Staff loans and mortgages								
Long term deposits								
Other (specify):								
XXX								
XXX								
XXX								
Total Non-current investment assets (O)	-	-	-	-	-	-	-	-
Current Investment Assets								
Prescribed assets								
government bonds								
treasury bills								
other prescribed assets								
Staff loans and mortgages								
Money market investments								
Cash on hand and at bank								
Other (specify):								
XXX								
XXX								
XXX								
Total current investment assets (P)	-	-	-	-	-	-	-	-
Sundry Debtors								
Contribution arrears								
Rental arrears								
Dividend receivable								
Interest receivable								
Other (specify):								
XXX								
XXX								
XXX								
Total sundry debtors (Q)	-	-	-	-	-	-	-	-
Total assets (N+O+P+Q) = R	-	-	-	-	-	-	-	-
Non-Actuarial Liabilities								
Arrear pension benefits								
Tenants deposits								
Tax								
Contribution prepayments								
Other non-actuarial liabilities (specify):								
XXX								
XXX								
XXX								
Total non-actuarial liabilities (S)	-	-	-	-	-	-	-	-
Net Assets available for benefits at end of year (R-S) = T	-	-	-	-	-	-	-	-
Actuarial Liabilities								
Members' Liabilities								
Active members								
Pensioners								
Deferred pensioners								
Pending exits								
Unclaimed benefits								
Other (specify)								
Other (specify)								
Reserves								
Stabilisation Reserve								
Other reserves(specify):								
Total Actuarial Liabilities (U)	-	-	-	-	-	-	-	-
Surplus/ Deficit (T-U)	-	-	-	-	-	-	-	-

ANNEXURE C

Statement of Cashflows

	Total	Total
	20XX (current period)	20XX (prior period)
Cashflow from Membership Activities		
Cash flows from membership activities		
Cash received from contributions		
Benefits paid		
Cash transferred from other funds		
Cash transferred to other funds		
Net cash flows from membership activities (V)	-	-
Cashflows Collected from Other operating Activities		
Other operating income		
Cash paid to suppliers		
Actuarial fees		
Administration expenses		
Audit fees		
Legal fees		
Levies & subscriptions paid		
Cash paid to employees		
Staff expenses		
Board expenses		
Fines and penalties paid		
Other operating expenses (specify):		
XXX		
XXX		
XXX		
Net cashflow from other operating activities (W)	-	-
Cashflow from Investing Activities		
Purchase of operating assets		
Purchase of investment property		
Purchase of financial assets		
Proceeds from sale of operating assets		
Proceeds from sale of investment property		
Proceeds from sale of financial assets		
Investment expenses paid		
Property expenses paid		
Rent received		
Interest received		
Dividends received		
Investment management fees paid		
Tax paid		
Custody fees paid		
Other investing activities (specify):		
XXX		
XXX		
XXX		
Net cash inflows/ (outflows) from investing activities (X)	-	-
Net cash inflow / (outflow) for the year (V+W+X) =Y	-	-
Cash and cash equivalents at the beginning of the year		
Exchange gains / (losses) on cash and cash equivalents		
Cash and cash equivalents at the end of the year	-	-

ANNEXURE D

Membership Statistics

	In Zimbabwe		Outside Zimbabwe	
	2021	2020	2021	2020
1. Number of principal members at beginning of year				
Number of beneficiaries at the beginning of the year				
TOTAL	-	-	-	-
2. Principal Membership as at end of year	**2021**	**2020**	**2021**	**2020**
(a) new entrants for the year				
(b) active members[1]				
(c) deferred pensioners				
(d) pensioners[2]				
(e) suspended pensioners[3]				
(f) members with unclaimed benefits[4]				
(g) transfers in[5]				
Total Membership as at end of year	-	-	-	-
3. Beneficiaries as at end of year				
(a) Pensioners:				
Surviving Spouse				
Children				
Other dependants				
(b) Suspended pensioners:				
Surviving Spouse				
Children				
Other dependants				
Total Beneficiaries as at end of year	-	-	-	-
4. Exits as at end of year[6]				
(a) Transfers out[7]				
(b) Full commutations				
(c) Death				
(d) Other				
	-	-	-	-

NOTES

1. This figure excludes new entrants for the year[1]
2. This figure excludes suspended pensioners and beneficiaries[2]
3. This figure excludes suspended beneficiaries[3]
4. This figure includes all members of the fund who left employment and in terms of the rules are entitled to receive a benefit from the fund but has not claimed the benefit[4]
5. This figure is made up of transfers in from other funds[5]
6. exits refers to members who have no residual assets on the fund[6]
7. This figure is made up of transfers out to other funds[7]

ANNEXURE E

Debtors' Age Analysis

Current period

	20XX (current year)			20XX (previous year)		
	Rental Arrears	**Contribution Arrears**	**Other (specify)**	**Rental Arrears**	**Contribution Arrears**	**Other (specify)**
Below 30 days						
between 31 days and 90 days	-	-	-	-	-	-
between 91 days and 180 days	-	-	-	-	-	-
181 days and above	-	-	-	-	-	-
Total at end of Reporting Period	-	-	-	-	-	-

ANNEXURE F

Unclaimed Benefits Age Analysis

		20xx(current)	20XX (previous)
Less than 1 year	No. of Members		
	Amount		
From 1-2 years	No. of Members		
	Amount		
From 2 - 5 years	No. of Members		
	Amount		
From 6 - 10 years	No. of Members		
	Amount		
More than 10 years	No. of Members		
	Amount		
Total	**No. of Members**		
	Amount		

ANNEXURE G

Prescribed Assets Investment Report

Type of Instrument	Name of Issuer	Date of Issue	Date of Purchase	Maturity Date	Purchase Price	Face Value of Investment	Interest received	Dividend received
Non - Current Assets								
	TOTAL				-	-	-	-
Current Assets								
	TOTAL				-	-	-	-

ANNEXURE H

Sponsoring Employers' Contribution Arrears

Sponsoring Employer	Availability of Certified Repayment Agreement (Y/N)	Contribution Arrears				
		30 days and below	between 31 days and 90 days	between 91 days and 180 days	181 days and above	Total
						-
						-
						-
						-
						-
						-
						-
						-
						-
						-
						-
						-
						-
						-
						-

ANNEXURE I

Assets Outside Zimbabwe as at 31 December 2022 (US$ Values)

	Sub Account 1	Sub Account 2	Sub Account 3	Total	Sub Account 1	Sub Account 2	Sub Account 3	Total
	20XX (current period)				20XX (prior period)			
Non-Current Investments								
Equities								
quoted:								
unquoted								
Prescribed assets								
Bonds								
Loans and mortgages on property								
Long term deposits								
Other (specify):								
XXX								
XXX								
XXX								
Total Non current investment assets	-	-	-	-	-	-	-	-
Current Investment Assets								
Prescribed assets								
Money market investments								
Cash on hand and at bank								
Investment income receivable								
Other (specify):								
XXX								
XXX								
XXX								
Total current investment assets	-	-	-	-	-	-	-	-
Sundry debtors								
Rental arrears								
Dividend receivable								
Interest receivable								
Other (specify):								
XXX								
XXX								
XXX								
Total sundry debtors	-	-	-	-	-	-	-	-
Total Assets	-	-	-	-	-	-	-	-